



Social Issues in Corporate America

by Sophia



WHAT'S COVERED

In this lesson, you will learn how businesses can make a difference on social issues, as well as considering the potential problems with doing so. Specifically, this lesson will cover:

1. Public Positions and Social Action

Nike is one of the U.S.'s most successful sports apparel companies, associated with champions in every sport and the Pacific Northwest. It's been active in forming partnerships with schools, supporting communities, and giving back, though they are nagged by ethical questions about the workers and conditions where their shoes are made.

When Nike released its 30th anniversary "Just Do It" campaign in the fall of 2018, it took a public position on a social action issue that divided the nation, and challenged its own loyal consumer base. The commercial featured football quarterback Colin Kaepernick, who had become a lightning rod for public criticism when he took a knee during the national anthem before games to protest police violence and show his support for the Black Lives Matter movement. This was polarizing, with some championing Kaepernick using his platform to make a public statement. Others were furious, considering it disrespectful to the flag, the game, and the police. Some fans even vowed to stop watching football.

Colin Kaepernick was an unlikely choice for an advertisement campaign. Nike's leadership knew it would contribute to the controversy, and even if it was a calculated risk, it could carry a high cost.



Credit: Colin Kaepernick via Twitter

In the commercial, Colin Kaepernick stared straight out at the audience and challenged them to stand up for their beliefs as he took one knee in protest. By running the ad, and sponsoring Kaepernick, Nike took a public position in this debate. By extension, Nike showed support for his message, and concern for the issues.

The Nike logo figures prominently right under his face. Just do it—Nike’s slogan since 1988—pops from the page in white letters against a dark background. The image features a quote front and center, “Believe in something. Even if it means sacrificing everything,” crossing the bridge of his nose and face, right below the eye line. And again, the debate found a new spark: Nike was capitalizing on this social issue. It was advocating social action to sell shoes. Colin Kaepernick pushed boundaries on a public stage about a social action issue. So did Nike.

Companies sometimes stay neutral and avoid public positions on social issues in favor of not dividing their consumer community. Other businesses may make local efforts to support specific causes, like booster clubs, sports teams, the local food bank, and more, though they rarely support groups that are divisive or controversial. Finally, some corporations, particularly those with a national or international footprint, may choose to use their advertising voice for change. Consumers may assert it’s done as **cause marketing** and public relations. Cause marketing is defined as a collaboration between nonprofit organizations and for-profit business to support a particular cause or action; though the company may genuinely support the issue, they also benefit from the positive publicity and brand recognition these partnerships give them. For example, see the number of products that have been sold in special pink packaging, with a portion of the profits (usually not specified) supporting the Susan G. Komen Breast Cancer Foundation.

Some may assert corporations have no place in societal debates. But some corporations understand that with power comes responsibility, and they choose to use that powerful voice for change.



THINK ABOUT IT

Was Nike right in endorsing Colin Kaepernick? Or did Nike exploit his cause and image to make sales?

Worse, did Nike pick the wrong spokesman and the wrong cause? Should corporations even take positions on social issues?



TERM TO KNOW

Cause Marketing

A collaboration between a company and a service organization. The positive association is good public relations for the company.

2. Business and Social Movements

While cause marketing is normal, Nike took a risk by backing a social movement, Black Lives Matter, a loosely organized series of marches and protests that raised awareness of police violence which disproportionately affects Black people. That is, it was no ordinary cause, but a **social movement**. A social movement is an effort by a large number of people to bring about or impede social change. Unlike other attempts to influence change through lobbying and organization, social movements often work *outside the system* by engaging in various kinds of protest, including demonstrations, picket lines, sit-ins, and sometimes outright violence. Conceived in this way, the efforts of social movements amount to “politics by other means,” with these “other means” made necessary because movements lack the resources and access to the political system that interest groups typically enjoy.

By definition, social movements often operate outside of the political system by engaging in protest. Their rallies, demonstrations, sit-ins, and silent vigils are often difficult to ignore. With the aid of news media coverage, these events often throw much attention on the problem or grievance at the center of the protest and bring pressure to bear on the government agencies, corporations, or other targets of the protest.

American progress is closely tied to social movements. The abolitionist movement called attention to the evils of slavery. The women's suffrage movement after the Civil War eventually won women the right to vote with the ratification of the 19th Amendment in 1920. The labor movement of the late 19th and early 20th centuries established the minimum wage, the 40-hour workweek, and the right to strike. The civil rights movement of the 1950s and 1960s ended legal segregation in the South, while the Vietnam antiwar movement of the 1960s and 1970s helped increase public opposition to that war and bring it to a close. The contemporary women's movement has won many rights in social institutions throughout American society, while the gay rights movement has done the same for gays and lesbians. Another contemporary movement is the environmental movement, which has helped win legislation and other policies that have reduced air, water, and ground pollution.

Because social movements are inherently antiestablishment, it is highly unusual for a corporation to back a social movement. Indeed, even in Nike's case they relied on association; on paper they did what they'd been doing for decades in paying a high-profile athlete to promote their brand. More often, businesses are what the movement is protesting, such as animal rights activists protesting outside of stores that sell furs.

However, there have been other attempts at cause marketing that link to social movements. In 2019, Gillette, maker of hygiene products, ran a campaign called “The Best Men Can Be,” which attempted to address issues like sexism and bullying, encouraging men to be better. In a subsequent campaign, they showed a transgender man learning how to shave from his father, which received plaudits from the trans community (Nanos, 2019). In 2014, Cheerios ran an ad featuring a same-sex couple as adoptive parents, tacitly supporting gay partnerships and one of the first mainstream ads that even acknowledged gay people; over the next ten years, ads with gay partners have become mainstream (Alcorn, 2019).

Such marketing can lead to social media praise and good branding but can also backfire as customers who disagree with the message lash out and/or boycott the company. After Nike announced Kaepernick as a spokesman, people announced they were boycotting the brand, and that they would no longer use their existing Nike products, some even shredding or burning them and posting the results on social media (Abad-Santos, 2018). Similar boycotts have been planned against brands like Disney, Starbucks, and Keurig Coffee. On the other side of the political spectrum, brands like Goya Foods and Chick-fil-A were boycotted because of their public stances on conservative issues. Whether the boycotts are widespread enough to affect the business or the opinions of leadership isn't clear, but they must make shareholders nervous. This raises the question of whether it is irresponsible of a company to take a public stance even if they believe in it passionately.



REFLECT

How would you feel if a company you supported showed support for a controversial organization with opinions you disagreed with and actions you considered immoral? Would you still support the company? If this has happened, did you boycott the brand, at least temporarily?



TERM TO KNOW

Social Movement

An effort by a large number of people to bring about or impede social change through protests, marches, and other highly visible methods.

3. Is It Wrong to Take Sides?

When we ask whether it is “OK” for corporations to take sides in social debates, we have to remember that taking sides has always been a part of how businesses support the community. From the local food bank to the local sports teams, to supporting the women’s shelter or the senior center, businesses have historically been called upon to—and responded with—support. In times of emergency or tragedy, like extreme weather events, companies have demonstrated leadership by meeting the call for need.

By extension, when they are called upon by shareholders to take a stand on a social action issue, particularly at a national level, it may well serve both the business and community or nation to engage in a debate—especially when elected leadership fails to address important, current issues. Still, some shareholders may counter and assert that executives have different priorities from shareholders, and the controversy, like the Colin Kaepernick and Nike partnership, may cost companies customers and result in loss, which goes against the bottom line and profit, the main goal for many businesses.

So, if a business can support the local food bank, recognizing a social issue that combines issues of poverty, education, employment, opportunity, and racial and ethnic inequalities, then why shouldn't a company be able to speak out on a social action issue? As we've previously seen, it's a complicated issue, with potential loss of support from shareholders and other stakeholders. On the other hand, the actions may increase brand awareness and corporate image. And perhaps more importantly, it can make a positive impact.

Businesses, companies, and corporations are members of the global community, and they bear a significant responsibility. For them to take a stand is quite controversial, but that does not mean the issues themselves are not urgent, important, or valid.

At the heart of the Nike controversy is the belief in systemic injustice. We are born without language or culture, but we are born into systems, including institutional systems, that promote—or hold back—people

based on a myriad of characteristics. Our life chances are significantly influenced by where we are born, our parents' level of educational attainment, our gender, race, ethnicity, language, and so much more. Sometimes it can be hard to imagine that something different, or better, is possible. People can rise up and say, “Enough.” They can speak out on social action issues. And businesses, too, and the people that run them, can speak up.



Credit: Three Throne Productions via Pexels

The effect of Nike speaking up became evident a year later, when protests erupted all over the country sparked by the murder of George Floyd by Minneapolis police. This time, dozens of countries joined Nike in “taking sides” on behalf of the protestors. Comcast, Alphabet (parent company of Google), and Bank of America, among other companies, not only spoke up but pledged significant amounts of money—as much as a billion dollars—to social justice groups (Segal, 2019). However cynically we interpret the choice by Nike to use Kaepernick as a spokesperson, it was a turning point for corporations taking a public stance against racism.



REFLECT

Are there any issues you feel so strongly about, you would risk a high-paying job to make a statement like Nike did with the Kaepernick ad?



SUMMARY

In this lesson, you learned about companies taking a **public position for social action**, with the example of Nike running high-profile ads featuring athlete Colin Kaepernick, and in so doing, implying agreement with his support of the Black Lives Matter movement and opinion that Black people were unfairly targeted by the police. Governance in a democracy should feature representatives that serve their citizens, but a lack of leadership gives rise to social movements that speak up, stand out, and

demand social action and change. Historically, businesses have tried to be apolitical, but in the 21st century, **business have been more vocal in support of social action** for issues like promoting gay rights and ending racism. There is a debate about whether corporate leaders, or corporations themselves, should enter social movements and public debate, in effect **taking sides** on controversial topics. Some would argue that taking such positions can hurt business or upset shareholders. On the other hand, with power comes responsibility, and how corporations use that power makes a difference.

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